

Granular CPI Analysis Report - Sub-Component Level

2025-12-12

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Total granular CPI components: 298

1 Overall Consumer Price Index Heatmap

1.1 Year-on-Year Change

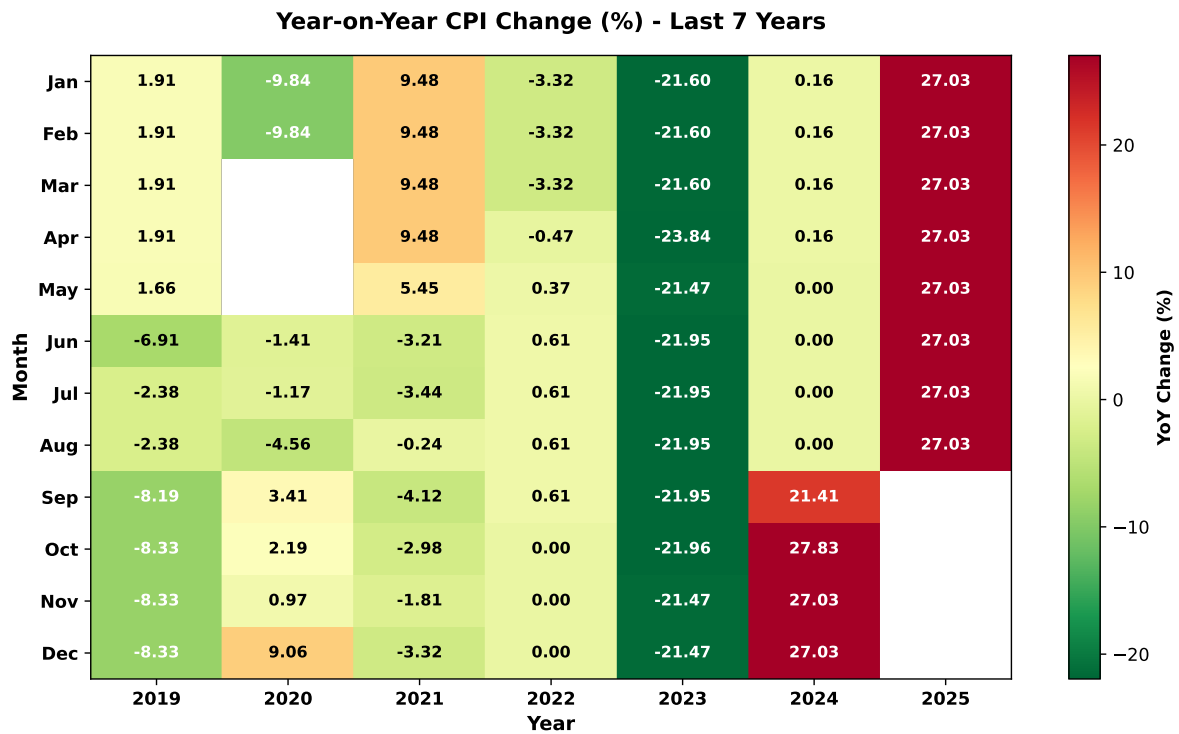


Figure 1: Consumer Price Index - Year-on-Year Change Heatmap

1.2 Month-on-Month Change

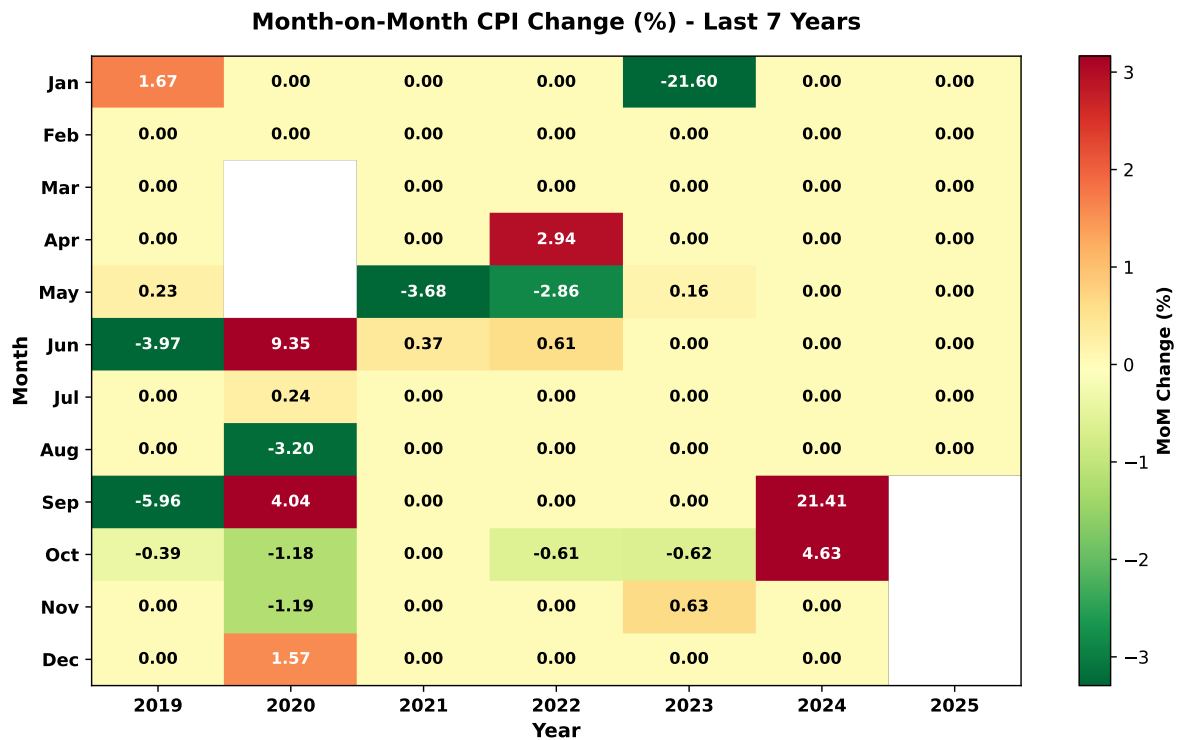


Figure 2: Consumer Price Index - Month-on-Month Change Heatmap

2 Top Movers Analysis

2.1 Month-on-Month Top Movers

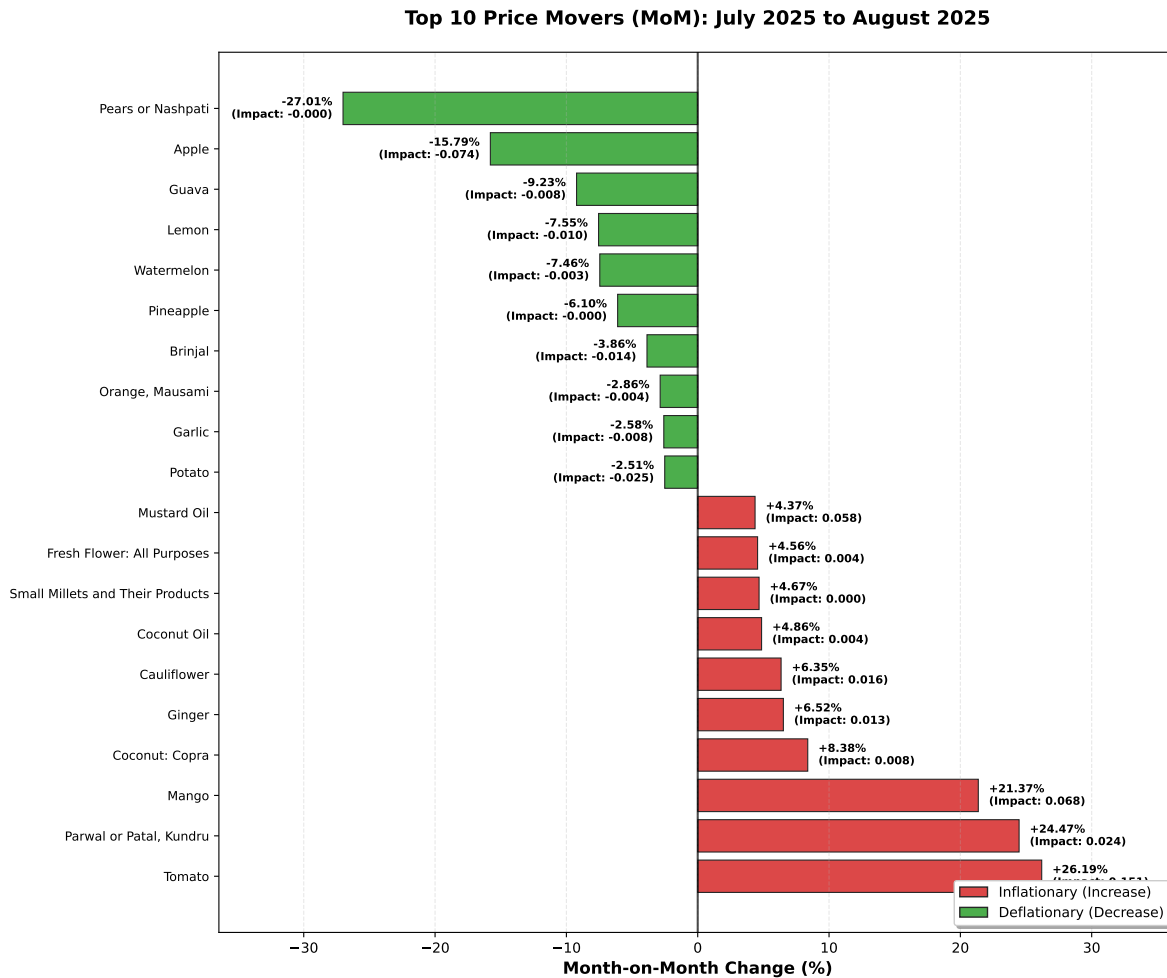


Figure 3: Top 10 Inflationary and Deflationary Items (Month-on-Month)

2.1.1 Key Contributors to CPI Change

Top 3 Contributors by Impact (MoM):

- **Tomato:** 26.19% change $\times$ 0.57% weight = **0.151** contribution
- **Mango:** 21.37% change $\times$ 0.32% weight = **0.068** contribution
- **Mustard Oil:** 4.37% change $\times$ 1.33% weight = **0.058** contribution

2.1.2 Key Observations (MoM)

- **Tomato** experienced the highest month-on-month inflationary pressure with a **26.19%** increase.
- **Potato** showed the largest month-on-month deflationary trend with a **-2.51%** decrease.

2.2 Year-on-Year Top Movers

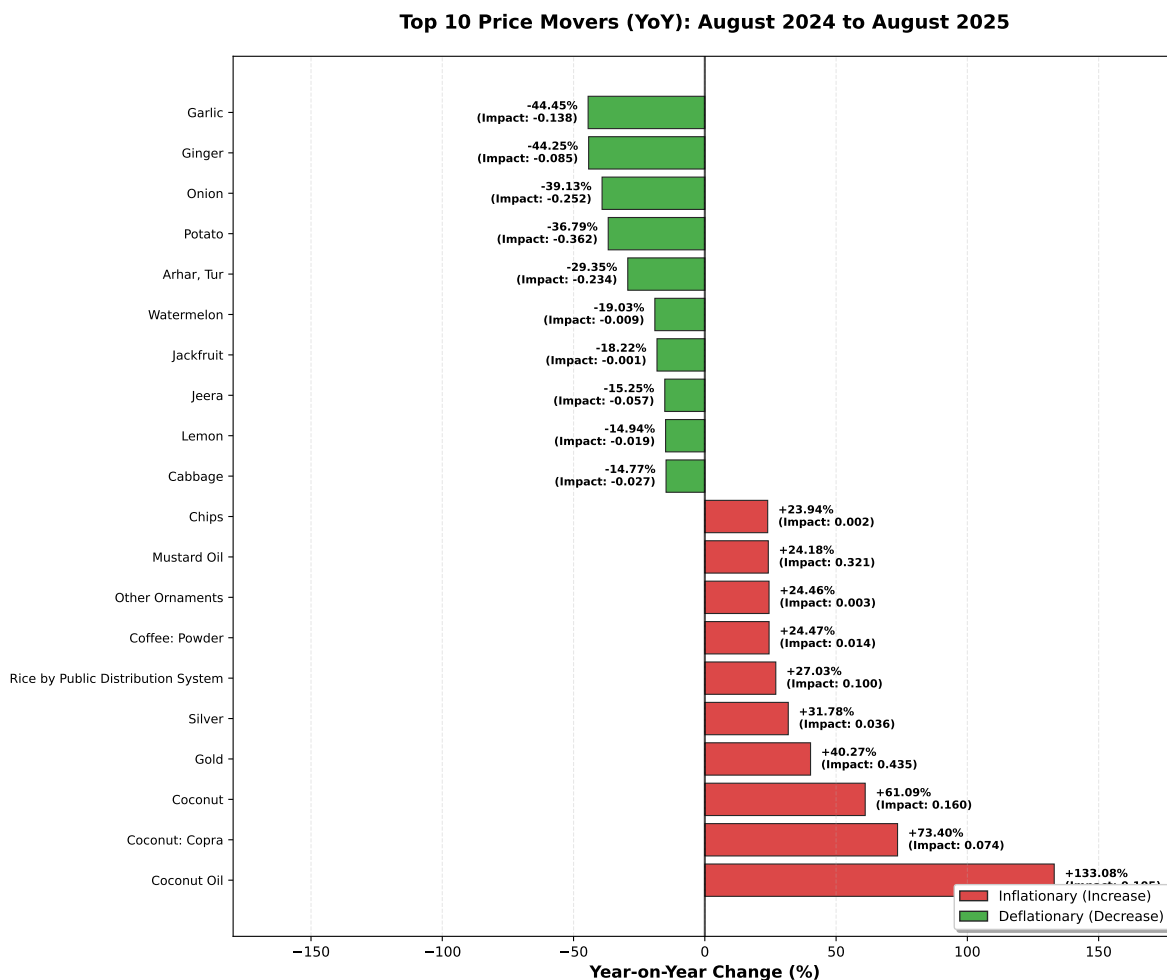


Figure 4: Top 10 Inflationary and Deflationary Items (Year-on-Year)

2.2.1 Key Contributors to CPI Change (YoY)

Top 3 Contributors by Impact (YoY):

- **Gold:** $40.27\% \text{ change} \times 1.08\% \text{ weight} = \mathbf{0.435}$ contribution
- **Mustard Oil:** $24.18\% \text{ change} \times 1.33\% \text{ weight} = \mathbf{0.321}$ contribution
- **Refined Oil: Sunflower, Soyabean, Saf...:** $23.46\% \text{ change} \times 1.26\% \text{ weight} = \mathbf{0.296}$ contribution

2.2.2 Key Observations (YoY)

- **Coconut Oil** experienced the highest year-on-year inflationary pressure with a **133.08%** increase.
- **Cabbage** showed the largest year-on-year deflationary trend with a **-14.77%** decrease.

3 Inflation Dispersion Analysis

3.1 Count-Based Dispersion (Number of Items)

3.1.1 7-Year View (Normalized)

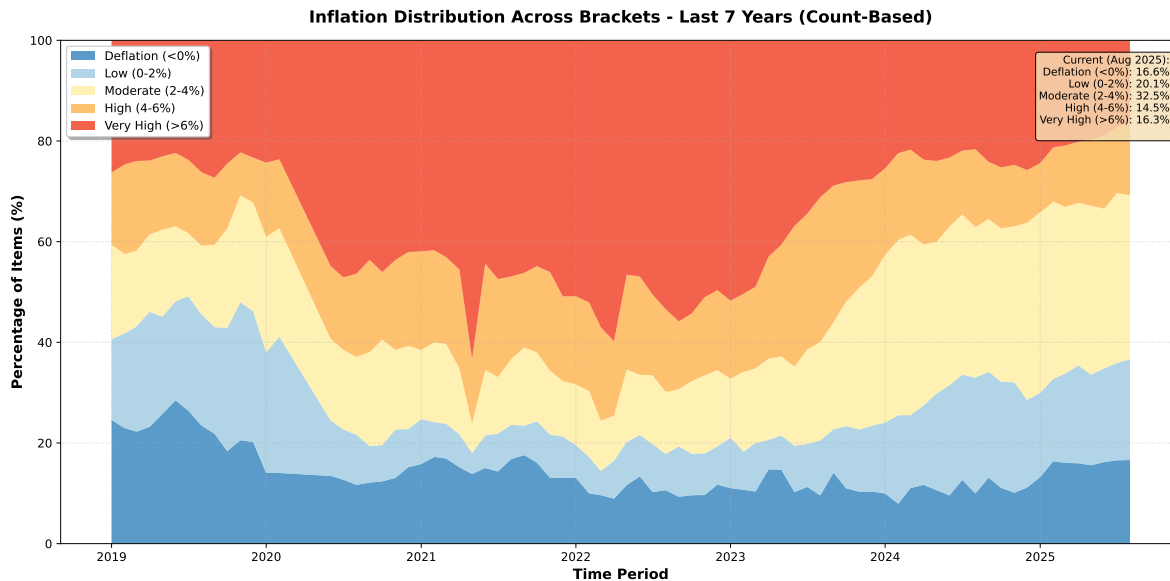


Figure 5: Inflation Distribution by Bracket - Last 7 Years (Normalized, Count-Based)

3.1.2 3-Year View (Normalized)

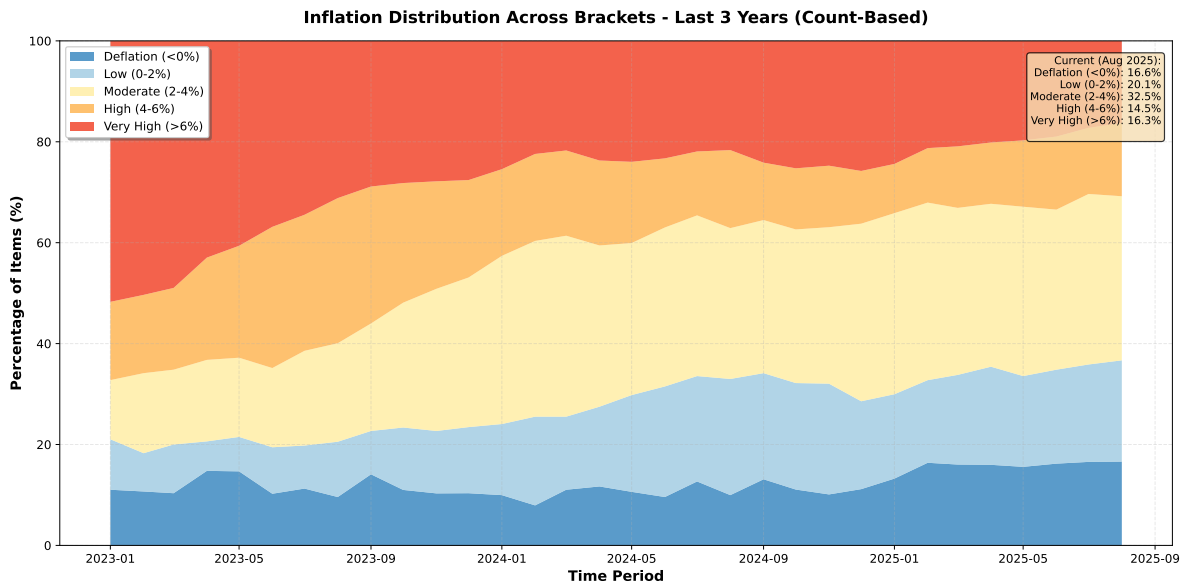


Figure 6: Inflation Distribution by Bracket - Last 3 Years (Normalized, Count-Based)

3.2 Weight-Based Dispersion (% of CPI Weight)

3.2.1 7-Year View (Normalized, Weight-Based)

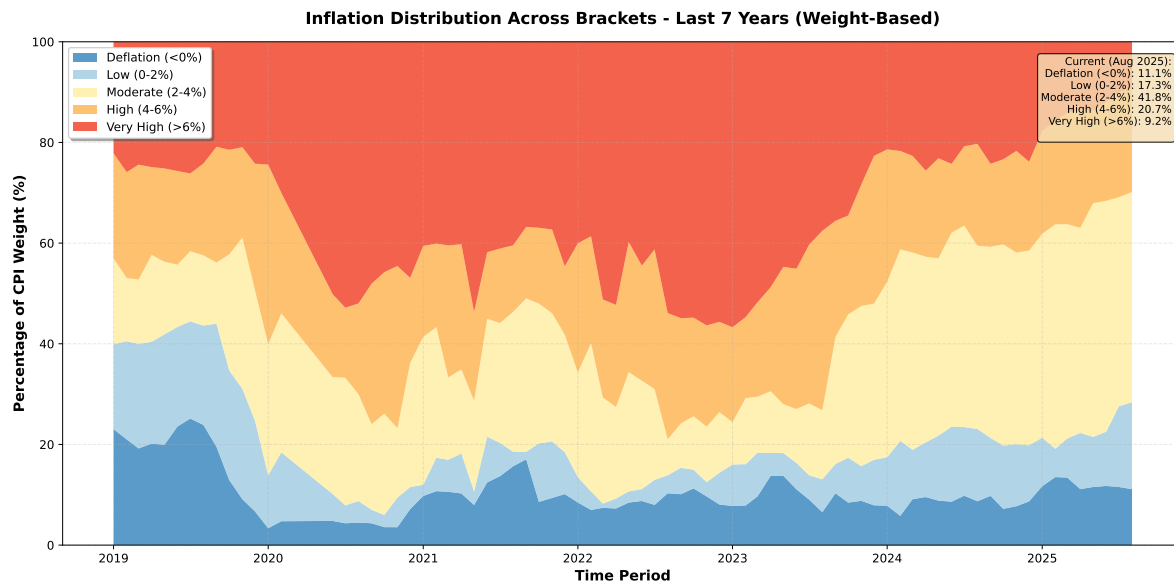


Figure 7: Inflation Distribution by Bracket - Last 7 Years (Weight-Based)

3.2.2 3-Year View (Normalized, Weight-Based)

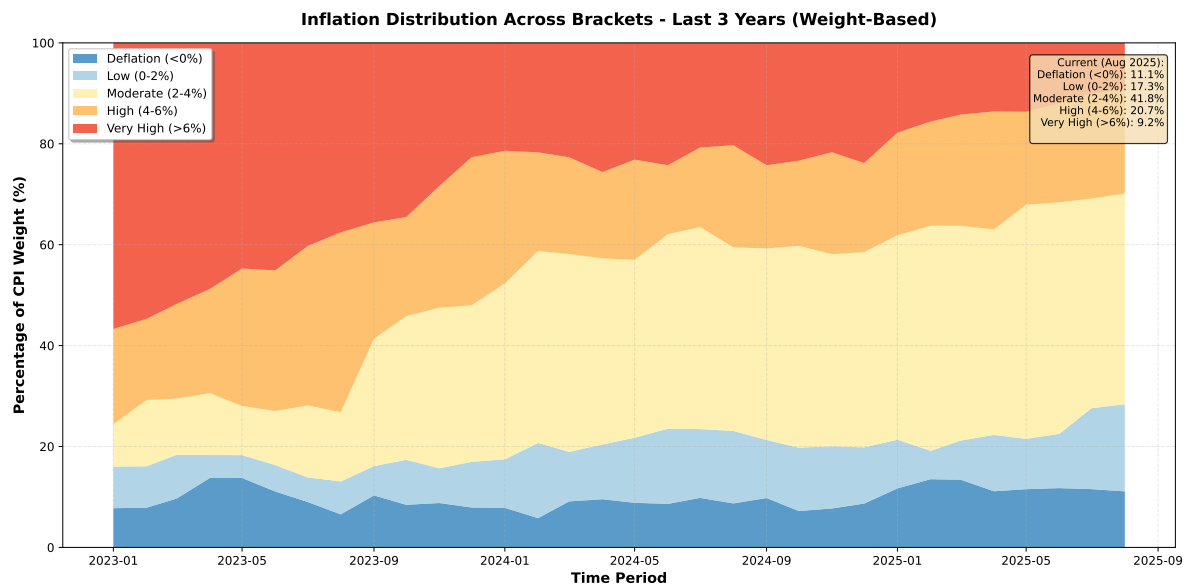


Figure 8: Inflation Distribution by Bracket - Last 3 Years (Weight-Based)

3.2.3 Key Insights: Count vs Weight Dispersion

3.2.4 Current Month (August 2025)

- **Count-based:** 30.8% of items are at or above RBI target band (4-6%+)
- **Weight-based:** 29.8% of CPI weight is at or above RBI target band

4 Annualized MoM Threshold Analysis

4.1 6% Annualized (0.5% MoM Threshold)

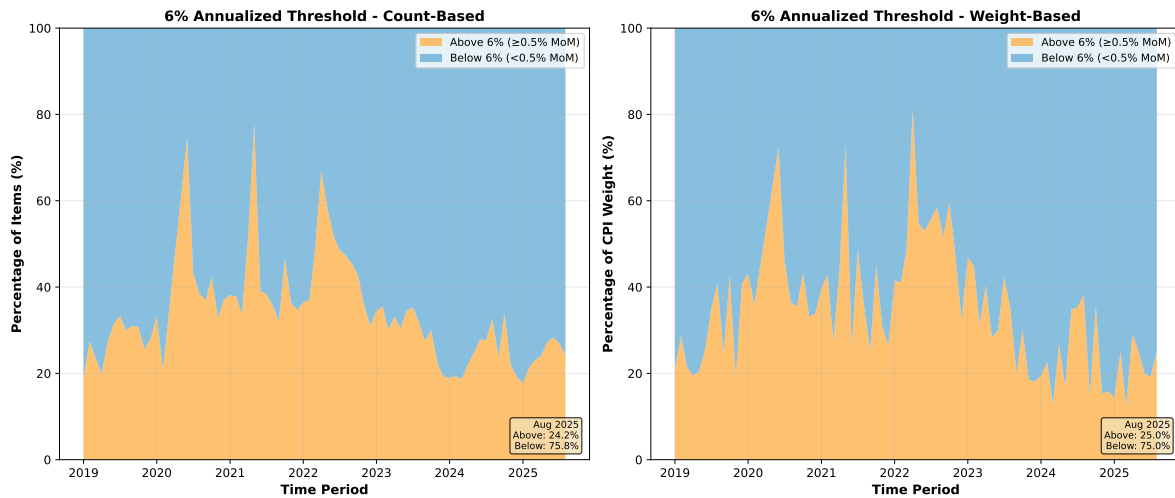


Figure 9: Items Above/Below 6% Annualized Inflation (0.5% MoM) - Count and Weight

4.2 4% Annualized (0.33% MoM Threshold)

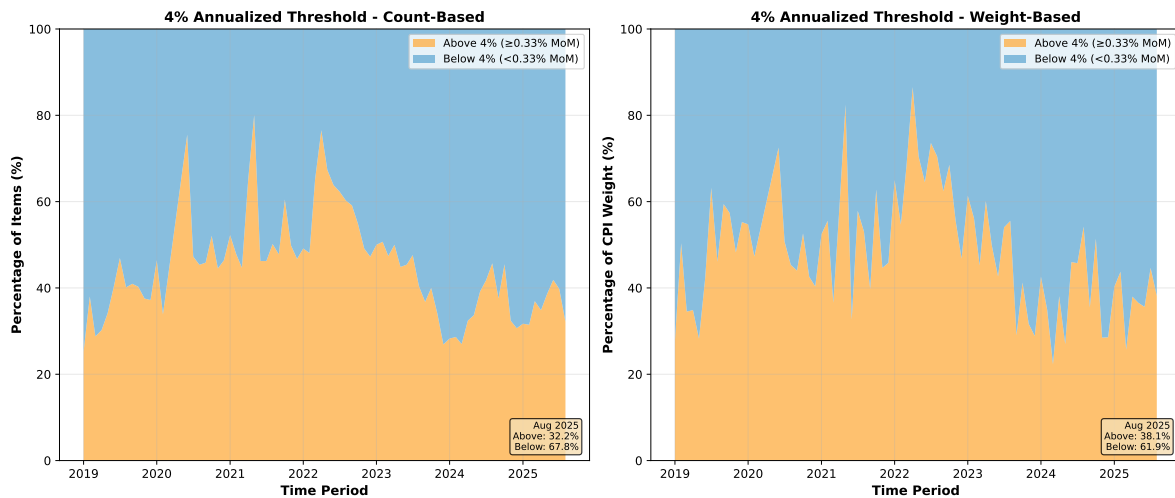


Figure 10: Items Above/Below 4% Annualized Inflation (0.33% MoM) - Count and Weight

4.2.1 Key Insights

4.2.2 Current Month (August 2025)

6% Annualized Threshold:

- 25.0% of CPI weight experiencing >6% annualized inflation
- Represents 70 items (24.2% of all items)

4% Annualized Threshold:

- 38.1% of CPI weight at or above RBI lower bound (4%)
- Represents 93 items (32.2% of all items)

Fixed Income Implication: Limited weight above 4% threshold suggests easing inflation. Potential for accommodative policy.